

Outlook

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The model may be penalising the way a customer entered the bank

Hi,

This came up in a working session and nobody had the same definition.

Model Risk is concerned that channel, document availability and data completeness may become proxies for customer groups rather than genuine risk.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: branch and digital populations differ before modelling; missing documents drive predictions; or performance gaps disappear after controlling for product and income.

Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use January 2023 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is which features need restriction, monitoring or clearer business justification. Please bring a model-ready table, data dictionary and an honest baseline, including a few cases we can trace from source to conclusion.

The available evidence is monthly customer and KYC snapshots; monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments. Protected-attribute analysis must be governed and access-controlled; do not use ethnicity or gender for targeting or adverse treatment.

Thank you